Qualitative Assessment

Good Times Restaurants Inc.

2026

Summary

What do they sell?

Good Times Restaurants operates two restaurant concepts: Bad Daddy’s Burger Bar and Good Times Burgers & Frozen Custard. Bad Daddy’s is a full-service casual dining burger bar concept offering burgers, salads, appetizers, alcoholic beverages, and a higher-energy sit-down dining experience. Good Times is a quick-service drive-thru concept focused on all-natural burgers, chicken, fries, frozen custard, and breakfast items. The company currently operates or licenses 38 Bad Daddy’s restaurants and operates or franchises 30 Good Times restaurants.

Who buys it?

Customers are primarily restaurant consumers seeking either a full-service casual dining experience or a quick-service drive-thru meal. Bad Daddy’s serves families, groups, burger customers, bar customers, and off-premises takeout or delivery customers. Good Times primarily serves convenience-oriented customers in Colorado and nearby markets who want a higher-quality quick-service burger, custard, or breakfast option.

Why do customers buy from them instead of others?

Customers choose Bad Daddy’s for its customizable burger menu, full bar, craft beer selection, bold flavors, and casual dining atmosphere. Customers choose Good Times for drive-thru convenience, frozen custard, all-natural beef and chicken positioning, and localized brand recognition in Colorado. However, both concepts operate in highly competitive restaurant categories where customers have many substitutes and very low switching costs.

Earnings

What are the primary drivers of earnings?

Earnings are primarily driven by same-store sales, guest traffic, average check size, food and labor costs, restaurant-level margins, commodity inflation, rent expense, and the performance of new or remodeled restaurants. Bad Daddy's also depends on bar sales, dinner traffic, off-premises demand, and successful site selection. Good Times depends heavily on drive-thru volume, speed of service, and maintaining customer traffic in a competitive quick-service burger market.

Does the company have pricing power, or are prices determined by the market?

Pricing is mostly determined by the market. The company can raise menu prices to offset inflation, but both casual dining and quick-service burgers are intensely competitive. Larger chains have greater marketing budgets, purchasing power, and brand recognition, which limits Good Times' ability to raise prices without risking traffic declines. The 10-K specifically notes weaker restaurant traffic, aggressive discounting among QSR burger competitors, and consumer sensitivity to economic conditions.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings are unpredictable and somewhat cyclical. The business is tied to consumer discretionary spending, restaurant traffic, food costs, labor costs, lease costs, and local competition. The financial summary shows a long history of inconsistent profitability, including many years of operating losses, weak operating margins, and uneven free cash flow. Fiscal 2025 also showed declining same-store sales at both brands, with Bad Daddy's down 2.1% and Good Times down 5.0%.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

The company does not appear to possess a durable competitive advantage strong enough to consistently earn high returns. Good Times has some localized brand value in Colorado and Bad Daddy’s has a differentiated burger-bar concept, but neither brand appears strong enough to create meaningful pricing power or protection from larger competitors.

Cost advantage:

Good Times does not appear to have a structural cost advantage. Food, labor, rent, utilities, and commodity costs are largely determined by external market conditions. The company may benefit from shared support functions and geographic concentration in Colorado, but larger restaurant chains have greater purchasing scale and advertising leverage.

Network effects:

None. The value of one restaurant does not increase because more customers use other restaurants in the system.

Switching costs:

None. Customers can easily choose another burger chain, fast casual restaurant, local restaurant, grocery prepared meal, or delivery option for their next meal.

Brand:

The company has some brand recognition, especially Good Times in Colorado and Bad Daddy’s in its existing markets. However, the brands do not appear to have national strength or enough customer loyalty to create a strong moat. Brand value may support repeat traffic, but it does not appear to protect the business from larger competitors such as In-N-Out, Whataburger, other burger chains, local restaurants, and fast casual concepts.

Regulation:

Regulation does not create a meaningful competitive advantage. Restaurants face health, sanitation, labor, franchise, zoning, and liquor licensing requirements, but these regulations apply broadly across the industry and do not protect Good Times from competition.

Scale:

Scale is limited. The company operates a small restaurant base relative to national competitors. Shared services, operating systems, and supplier relationships provide some efficiency, but the company's 68 total restaurants/licensed/franchised units are not enough to create a major scale advantage.

Asset ownership:

Asset ownership does not provide a meaningful moat. The company leases substantially all restaurant real estate, with only limited owned property. This avoids some upfront capital requirements but also leaves the company exposed to lease renewals, rent increases, and site-level economics.

Geographic monopoly:

The company does not have a geographic monopoly. Good Times has concentration in Colorado, but the market includes many larger and better-capitalized competitors. Bad Daddy's operates in competitive suburban and urban trade areas where customers have many dining alternatives.

Capital Allocation

Have they diluted shareholders?

Historically, the company diluted shareholders significantly during earlier growth periods, with shares outstanding rising from roughly 1.3 million in 2008 to more than 12 million by the late 2010s. More recently, however, management has reduced the share count through repurchases, bringing shares outstanding down to roughly 10.7 million in 2025 according to the financial summary.

Are buybacks intelligent or desperate?

Recent buybacks appear rational but not enough to offset the weak underlying business quality. The company authorized a $5 million repurchase program in 2022, expanded it to $7 million in 2024, and had repurchased roughly 1.8 million shares for about $5.0 million by September 30, 2025. Buying back stock at low prices may be intelligent if intrinsic value is meaningfully higher, but repurchases are only valuable if the core business can generate adequate long-term returns.

Debt behavior rational?

Debt behavior appears conservative. The company ended fiscal 2025 with $2.6 million of cash and $2.3 million of long-term debt, and its credit facility had $2.0 million drawn against $8.0 million of total capacity. This is not an aggressively levered balance sheet. The main issue is not excessive debt, but weak and inconsistent restaurant-level economics.

Acquisitions disciplined?

The company has not relied heavily on acquisitions as its main growth strategy in recent years. Growth has mainly come from developing and operating restaurants under its two existing concepts, along with some franchise and joint venture activity. The larger capital allocation risk appears to be site selection and unit development rather than acquisition discipline.

How has management historically used free cash flow?

Historically, cash flow has been used for restaurant development, remodels, technology investments, operating needs, and share repurchases. The financial summary shows that free cash flow has been inconsistent, with multiple years of negative free cash flow during expansion periods and only modest positive free cash flow in recent years. This suggests the business requires ongoing reinvestment but has not consistently produced strong excess cash after capital expenditures.

Failure

How could this business fail?

The most realistic failure scenario is gradual value destruction from weak unit economics. If traffic declines, food and labor costs rise, or lease expenses increase faster than menu pricing, restaurant-level margins could compress further. Because the company operates small brands in competitive markets, it may lack the scale and pricing power needed to defend profitability. Poor site selection is also a material risk, as the company closed two Bad Daddy's restaurants around fiscal 2025 and attributed those underperforming locations partly to real estate selection issues.

How could competitors or technology disrupt this business?

Competitors can disrupt the business through aggressive discounting, stronger marketing, better locations, faster drive-thru execution, loyalty programs, and delivery platforms. In-N-Out and Whataburger expanding in Colorado are especially relevant competitive threats for the Good Times concept. Technology also increases customer choice through delivery apps, online ordering, digital coupons, and price comparison, which makes it easier for customers to switch away from weaker brands.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

No, not with high confidence. The company has a clean balance sheet and some recognizable local brands, but the long-term economics do not appear attractive enough to own without access to the stock market. The business lacks durable pricing power, has inconsistent earnings, limited scale, low switching costs, and a history of weak returns on invested capital. It may be investable at the right price as a small-cap special situation, but it does not look like a business I would want to own privately for 10 years.

Why will this business still exist in 20 years?

The company could still exist because restaurants serve a persistent consumer need, and both burgers and drive-thru convenience are durable categories. Good Times has local brand recognition in Colorado, and Bad Daddy’s may continue to operate in markets where the concept has adequate traffic and unit economics. However, survival is not the same as high-quality compounding. The business can remain viable while still producing mediocre shareholder returns.

Final

What do I not understand? What makes me uncomfortable?

The main concern is that the company appears to be a small restaurant operator without a clear moat. The two-brand structure creates some diversification, but it also makes the business harder to analyze because Bad Daddy's and Good Times operate in different restaurant segments with different economics. The historical financials show inconsistent operating income, low margins, uneven free cash flow, and weak ROIC. Management appears financially disciplined, especially on debt and recent buybacks, but disciplined capital allocation alone may not overcome mediocre restaurant economics.

Pass or Fail to Phase 3?

Pass to cigar-butt valuation only.

Good Times Restaurants does not appear to qualify for a normal quality-based valuation because the business lacks a durable moat, has limited pricing power, operates in a highly competitive restaurant industry, and has historically produced inconsistent profitability. However, the company may be worth analyzing through a cigar-butt or asset/value template because the current valuation appears low, the balance sheet is conservative, recent capital allocation has improved, and net income has shown signs of improvement after a long period of weak profitability.

The key question is not whether this is a high-quality compounder. It is whether the market is valuing the company below a conservative estimate of normalized earnings, liquidation value, or private-market value. Because the stock currently trades at a low earnings multiple and management has been repurchasing shares rather than heavily diluting shareholders, the company merits a limited valuation review under the cigar-butt framework.